IN THE SUPREME COURT OF THE STATE OF OREGON

DISH NETWORK CORPORATION,
Plaintiff-Respondent,

v.

DEPARTMENT OF REVENUE,
Defendant-Appellant.

Tax Court Case Nos. 5007 (Control), 5050, 5140, 5201, 5239, 5267, and 5293

SC S065019

PLAINTIFF-RESPONDENT DISH NETWORK CORPORATION'S ANSWERING BRIEF

Appeal from the Judgment of the Oregon Tax Court
Honorable Henry C. Breithaupt, Judge

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INTRODUCTION

Respondent DISH Network Corp. ("DISH") has provided satellite pay-TV service in Oregon since the mid-1990s. It delivers pay-TV programming from production facilities in other states, through a network of satellites in orbit high above the Earth, and then straight to customers' homes in Oregon and across the nation where specialized equipment decodes the signals and shows the programming on customers' televisions.

From the beginning of DISH's operations in the state in the mid-1990s, local governments assessed DISH's Oregon property and issued property tax bills that DISH paid annually. In the 2009 tax year, however, Appellant Department of Revenue ("the Department") began centrally assessing DISH's property even though there had been no intervening change in DISH's property or DISH's business. The Department's unilateral decision substantially increased DISH's Oregon property taxes.

The Oregon Constitution, as amended by Measure 50, prohibits assessors from increasing the assessed value of property by more than 3% per year, with only six specific exceptions. Measure 50 was the third in a line of constitutional amendments approved in the 1990s by voters who were fed up with ever-increasing property taxes. Voters limited property tax rates in 1990 with the passage of Measure 5, but that effort proved unsatisfactory because it did not address tax increases driven by rising property values. Voters responded with

the passage of Measure 47 in 1996 and its successor, Measure 50, in 1997, which strictly limited assessors' ability to increase Oregonian's assessed valuations and their bottom-line tax bills.

Here, despite the protections of Measure 50, DISH's property tax bill doubled from 2008, the last year of local assessment, to 2009, the first year of central assessment—driven by the Department's near 100% increase in the assessed value of DISH's Oregon property. DISH overpaid property taxes from 2009 through the present totaling more than $2 million as a result.

It is difficult to imagine a more straightforward violation of Measure 50. Indeed, the Department no longer disputes that its assessment of DISH's property violated Measure 50 unless one of the specific exceptions to the 3% Limit applies.

Finding no exception to fit these facts, the Department justifies the assessment with a novel and expansive interpretation of the exception for "new property." It now argues that DISH's property was "new" even though DISH already owned the property; even though the Department could have centrally assessed the property the year before; and even though DISH had paid tax on the property to local governments for more than a decade. None of that history matters, in the Department's view, because property can be "new" for purposes of the exception merely because it is "newly added to the central assessment roll." Appellant Department of Revenue's Opening Brief ("DOR Br.") at 11.

The Department's interpretation stretches the new property exception beyond recognition, as the Tax Court correctly held on the parties' cross-motions for summary judgment. Voters could never have imagined that an assessor's unilateral actions could make property that they already owned "new property" and unprotected by Measure 50's 3% Limit. Certainly voters never thought that their property could be "new property" if they had actually paid tax on it the year before. Rather, voters understood that property could be added to the assessment roll as "new property" only if they recently built, manufactured, acquired, or added to the property. This intent is confirmed by the text's plain meaning and the surrounding constitutional and statutory context, all of which demonstrate that only the taxpayer's actions can trigger the new property exception. Conversely, an assessor's unilateral actions cannot create new property.

The Department's interpretation that property is "new" whenever it is newly added to an assessment roll reduces Measure 50's protections for all Oregon property taxpayers. The Department's interpretation puts the ability to circumvent Measure 50's 3% Limit in the hands of the very assessors that the voters sought to restrain, impermissibly tilting the constitutional balance in assessors' favor. It would, for example, allow assessors to increase property's assessed value to correct their own assessment errors, regardless of how long ago the taxpayer acquired or improved the supposedly "new" property. And it

will erode the certainty, predictability, and tax relief that are at the heart of Measure 50's 3% Limit.

Accordingly, the Court should reject the Department's expansive interpretation of the new property exception, hold that the exception did not justify the Department's assessment of DISH's property, and affirm the Tax Court's limited judgment.

STATEMENT OF THE CASE

Nature of the Action and Relief Sought

In these cases, consolidated in the Tax Court, DISH filed complaints seeking relief from the Department's assessments of its property from tax year 2009 through 2016. DISH specifically prayed, *inter alia*, for a determination that the Department's assessments violated the Oregon Constitution and for the refund of overpaid property taxes.

Nature of the Judgment

DISH agrees with the Department's statement that it has appealed from a limited judgment of the Tax Court determining the maximum assessed value of DISH's property for tax years 2009 through 2016.

Jurisdiction and Timeliness

DISH does not dispute that the Department timely appealed from the Tax Court's limited judgment and that this Court has jurisdiction under ORS 305.445.

STATEMENT OF MATERIAL FACTS

DISH Provides Pay-TV Service to Customers in Oregon and Across the Nation.

DISH Network[1] is one of the nation's leading providers of pay-TV service. It vigorously competes with the other major satellite pay-TV provider, DIRECTV, as well as with cable providers like Comcast. DISH, like other pay-TV providers, offers a variety of TV programming packages to suit different budgets and tastes, including local broadcast stations, basic channels, premium channels, and pay-per-view movies and events. SER 2.

DISH differs from cable pay-TV providers, however, in how it assembles and distributes programming packages. Specifically, DISH gathers and assembles TV programming signals at a massive digital production facility known as an "uplink facility." From there, it beams the signals up to a fleet of satellites orbiting thousands of miles above Earth. The signals are then sent directly to small satellite receiving dishes located on or near customers' homes and displayed on their televisions using "set-top" boxes that decode the signal. SER 2.

DISH's distribution infrastructure and virtually all of its personal property are located entirely and exclusively outside of the State of Oregon. SER 2-3. Likewise, DISH's satellites are not found on Earth, much less in

[1] At all relevant times, Respondent DISH Network Corp. provided pay-TV service through its subsidiary, DISH Network L.L.C. SER 2.

Oregon—they are all in permanent geostationary orbit in outer space. SER 2-3. And DISH has substantial personal property in other states, such as satellite antennas, installation equipment, and set-top boxes (which are usually leased to customers) that they use exclusively to provide service to customers in those other states. SER 3.

RESPONSE TO ASSIGNMENTS OF ERROR

The Department's First Assignment of Error

The Tax Court correctly granted DISH's motion for summary judgment and correctly ruled that the exception for new property did not justify the Department's assessments of DISH's property for the tax years at issue.

The Department's Second Assignment of Error

The Tax Court correctly denied the Department's motion for partial summary judgment on the same issue.

Preservation of Error and Standard of Review

DISH does not dispute that the Department preserved its objections to assignments of error. Because the facts material to the parties' disputed legal issues were not in dispute or otherwise controverted in the record, DISH also does not dispute that the standard of review for the Tax Court's rulings on the parties' cross-motions for summary judgment is for errors of law.

COMBINED ARGUMENT IN RESPONSE

I. DISH's Property Was Not "New" Under Any Plain Meaning Interpretation of Measure 50 or the Implementing Statutes.

The Department presses an interpretation of "new property" that focuses on the assessor's actions rather than on the property itself or the taxpayer's relationship to it. Under this sweeping interpretation, property is "new" if it "is new to the central assessment roll" even if "a unilateral act by the assessor . . . triggered the change." DOR Br. 17, 21, 25, 32-33. Thus, the Department argues that property that has belonged to the taxpayer for years or even decades, has already appeared on an assessment roll, and had a previously determined maximum assessed value loses the protections of Measure 50 simply because the Department has moved it from local to central assessment.

The basic error in the Department's position is that it makes the very act of subjecting property to central assessment or a different valuation methodology an exception to the 3% Limit. The 3% Limit is an ironclad constitutional protection that is subject to only a handful of explicitly stated exceptions. Or Const art XI, § 11(1). The Constitution makes allowances for certain events like disqualification from exemption or special assessment, rezoning, and lot line adjustments. *See* Or Const art XI, § 11(1)(c); ORS 308.146(3). But neither the Constitution nor the implementing statutes contemplate an exception for a change in the identity of the assessor, changes in valuation methodology, or moving property from local to central assessment.

Indeed, the Department's invocation of the new property exception does not even comport with how it determined maximum assessed value in this case, which underscores the shocking breadth of its interpretation and incompatibility with the constitutional and statutory structure. ORS 308.153 describes how to calculate maximum assessed value when there is "new property." First, the assessor calculates the maximum assessed value under the 3% Limit for all property that is not new, *i.e.*, property already in existence and owned by the taxpayer. ORS 308.153(1)(a). Second, the assessor separately calculates "[t]he product of the value of the new property or new improvements" multiplied by the changed-property ratio of no greater than 1.0. ORS 308.153(1)(b); *see also* ORS 308.153(2)(a). The maximum assessed value of all property in the account is the sum of the two calculations. ORS 308.153(1). Thus, even assuming that some of the taxpayer's property is "new," the assessor cannot simply reset the maximum assessed value for all of the taxpayer's property. Yet, that is exactly what the Department did in this case in treating every part of DISH's property as an exception to the 3% Limit and completely discarding the prior years' maximum assessed values. ER 29.

It is immaterial for purposes of Measure 50 whether DISH's intangible property was actually assessed in the last year of local assessment; it matters only that it was subject to central assessment—which it was. The calculation of maximum assessed value for a centrally assessed company is considered in the

aggregate. For purposes of determining the maximum assessed value of DISH's property in 2009, the calculation was to take "the total statewide value of all property assessed to" DISH in 2008 when it was "subject to" central assessment, and allow a modest increase of 3%. ORS 308.142(1)(b); ORS 308.146(1).

s/ Scott G. Seidman
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CERTIFICATE OF COMPLIANCE

Pursuant to ORAP 5.05, I certify that this Answering Brief is proportionately spaced, has a typeface of 14 points, and contains 11,164 words.

Dated this 7th day of December, 2017.

s/ Scott G. Seidman
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CERTIFICATE OF SERVICE

I hereby certify that on December 7, 2017, I directed the foregoing PLAINTIFF-RESPONDENT' ANSWERING BRIEF AND SUPPLEMENTAL EXCERPT OF RECORD to be electronically filed with the Appellate Court Administrator, by using the court's electronic filing system. The following participants in the case are registered appellate court users and therefore will be served by the appellate court's electronic filing service:

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DATED this 7th day of December, 2017.

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